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HE9E 46

Contemporary Business Issues (SCQF level 6)

<<unit No 1>>

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#ItAllAddsUp

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Introduction

- We all use products and services every day, such as online shopping, food delivery, mobile phones, apps, and fashion brands. Behind each of these businesses are decisions, strategies, risks, successes, and failures.

- "Every business you see today, Amazon, Tesla, Zomato, or even your local bakery, faces challenges that decide whether it succeeds or shuts down."

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Setting the Context – Why Study Business Issues?

- Businesses are not just about making or selling products—they face **real problems such as competition, finance, technological change, customer demands, government regulations, and sustainability.**
- Today, job roles require **business awareness**, not just technical knowledge.
- 90% of startups fail due to poor strategy or management (example: TikTok ban, Byju's crisis, Nokia failure).

Class interaction question:

- "Why do you think some businesses survive while others fail?"

Why this subject exists and why it matters in today's world.

- We live in a time when businesses are not just shops or companies; they are ecosystems that shape our daily lives, provide employment, drive innovation, and influence how society functions.
- From the food you order on Swiggy or Zomato, to the mobile phone in your hand, to brands like Tata, Reliance, Amazon, Apple—everything around us is the result of business decisions, strategies, risks, and responses to challenges.

So why do we study contemporary business issues?

- Because the world of business today is constantly changing, technology is advancing rapidly, and artificial intelligence, automation, digital payments, social media marketing, cloud computing, and electric vehicles are transforming how businesses operate.

From the context of Guyana

- Let us look at a real-world example from Guyana, a small South American country that is rapidly transforming.
- Until a few years ago, Guyana's economy mainly depended on **sugar, rice, bauxite, and gold mining**.
- Many people migrated to other countries in search of better opportunities, while businesses struggled due to limited infrastructure, high transportation costs, and frequent power outages.

- However, everything began to change in **2015**, when ExxonMobil and its partners discovered one of the world's largest oil reserves offshore in Guyana.

- Today, Guyana is considered the **fastest-growing economy in the world**, with GDP growth rates above 25%–40% in recent years.

- This sounds like a success story, but it also brings **significant business challenges and opportunities**, making Guyana a perfect example for this course.

- On one side, this oil discovery has created new business opportunities in **construction, hotels, transportation, logistics, banking, food services, small enterprises, and tourism**.

- Local entrepreneurs are opening restaurants, rental services, cleaning companies, and supply firms to serve international workers and oil companies.

- Foreign investors from the U.S., China, India, and Trinidad are entering Guyana, setting up partnerships and joint ventures.

- The government is earning billions through oil revenues, which are being used to build highways, hospitals, housing schemes, and educational projects.

- But on the other hand, **Guyana is now facing contemporary business issues similar to those faced by large economies.**

- There is a **shortage of skilled labour because many locals have previously migrated or lack specialised training for oil, finance, engineering**, and IT.

- A sudden increase in income has caused **rising housing prices, inflation, and the cost of living**, making it difficult for small businesses and low-income families to survive.

- Traditional industries such as sugar and rice are declining as young people prefer oil-related jobs, affecting local food production and agricultural businesses.

- Guyana also faces challenges in **sustainability and environmental responsibility**. While oil brings wealth, it also increases the risk of oil spills and the effects of climate change.

- At the same time, Guyana has a global reputation for having **one of the largest untouched rainforests**, and it is part of the **Low Carbon Development Strategy (LCDS)**, which attracts international funding to protect forests.

- Balancing oil wealth with environmental sustainability is one of the country's most significant business issues.

- This example shows how a country can experience both **growth and challenges simultaneously.**

- Guyana teaches us that businesses do not operate in isolation global markets, political decisions, natural resources, technology, local communities, and sustainability concerns influence them.

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Icebreaker / Warm-up Activity

- "Name a business you admire. Why do you think it is successful?"

- "Name a business that failed or closed down. What went wrong?"

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Icebreaker / Warm-up Activity

- "Name a business you admire. Why do you think it is successful?"

Success Story: Demerara Distillers Limited – DDL / El Dorado Rum

Success Story: Amul – The Taste of India

- "Name a business that failed or closed down. What went wrong?"
- **Failure Story: Café Coffee Day – CCD**
- **GuySuCo (Guyana Sugar Corporation)**

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Icebreaker discussion

- "Do you agree with this reason? Can you think of a business from Guyana or India where this applies?"

- Now, let us then link the video to your scenario of the two cafés.

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Scenario-Based Learning

- *Two cafés open on the same street at the same time. Both sell similar coffee.*
  - Café A – Always crowded, opens new branches.
  - Café B – Empty most of the time, closes within 1 year.
- "What could be the reason Café A succeeded and Café B failed?"

- Answers: Customer service, marketing, pricing, hygiene, ambience, social media, leadership, **competition, customer satisfaction, and innovation,** etc.

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Real Case Studies – Success vs Failure

Business	Outcome	Reason
Amazon	Huge Success	Innovation, customer focus, risk-taking
Kodak	Failure	Ignored digital camera innovation
Nokia	Failure	Slow to adopt smartphones & Android
Tesla	Success	Electric vehicle innovation & branding

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Course Coverage

- What are SMEs (Small & Medium Enterprises)?
- Stages of business life cycle – Start-up → Growth → Maturity → Decline → Renewal
- Challenges businesses face (finance, HR, marketing, competition)
- Business functions – HR, Finance, Operations, Marketing
- Strategies businesses use to survive and grow.
- Real company case studies like Tesla, Zomato, Apple, Tata JLR, Netflix, Nokia, Madeira Valley Forest Park, Unqueue, Anne's Products, etc.

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Student Activity

Instructions to students:

- Choose any business (local bakery/brand/app/startup).

- Write down:
  Name of business
  What it does well
  What challenges does it face

Summary

- Businesses succeed or fail based on decisions, innovation, leadership & adaptability.
- This course will teach how and why this happens using real-world examples.
- In the Next class, we will begin with **SMEs—Small & Medium Enterprises: their** meaning, features, and role in the economy.